

Extreme Networks Inc

Downgrade to Neutral and lower PT to \$14 as demand wanes and inventory digestion weighs

Downgrade to Neutral. Lower PT to \$14 from \$22. Demand pushed to the right

Although Extreme reported results in line with its pre-release ([link](#)), we downgrade the shares to Neutral from Buy and lower our price target to \$14 from \$22. Our concern is that Networking industry spend across Campus/WLAN will decline sharper than expected for the balance of calendar 2024. Given the order pressure over the next 4 quarters, we believe Extreme's run-rate revenue expectations need to be reset to, at best, ~\$1.1B. Moreover, run-rate operating margin guide of 10-13% exiting the June-24 quarter is more indicative of long-term profitability compared to the recent ~15% margins. At a revenue run-rate of \$1.1B adjusting for inventory destocking and a theoretical operating margin implies trough "earnings power" of \$0.78, in our view. While not a traditional cyclical company like a machinery or material stock, we believe the market is likely to assign a higher multiple than normal on what should be trough earnings given the uncertainty and earnings volatility. As such, we lower our PT to \$14, or 18x CY25E EPS of \$0.78.

2Q:24 Positives / Negatives

Positives: 1) F2Q rev of \$296.4M was essentially in line with our \$297.2M est and GM of 62.5% beat our 61.9%. 2) SaaS ARR increased ~37% YoY to \$158M. 3) The company cited stabilization in EMEA and growth in APAC, as well as a strong upcoming E-Rate season. 4) Mgmt expects a more normalized level of earnings and rev in F4Q, and a return to meaningful growth in FY25. **Negatives:** 1) F2Q OM was 14.8% vs our 15.9% est and EPS of \$0.24 missed our \$0.27. 2) F3Q guidance at the midpoint incl rev of \$205M (UBSe \$325M), GM of 60.5% (UBSe 61.2%), and EPS of (\$0.22)-(\$0.17) (UBSe \$0.30). 3) F4Q guide at the midpoint incl rev of \$270M (UBSe \$365M) and OM of 11.5% (UBSe 15.5%). 3) The company noted that its distributors and partners lowered inv purchases during the qtr. 4) Mgmt noted that larger deals are still experiencing elongated sales cycles, especially in North America.

Estimate changes - Reset revenue and EPS materially lower

- Cut FY24E rev and EPS 18% & 58% to \$1.1B & \$0.53 from \$1.3B & \$1.25.
- Cut FY25E rev and EPS 26% and 59% to \$1.1B and \$0.60 from \$1.4B & \$1.45.

Our \$14 PT (prior \$22) is 20x (14x) our CY25 EPS est of \$0.78 (prior FY25 \$1.56)

We lower our PT to \$14 but raise our multiple to reflect the potential of a cyclical trough in Extreme's earnings power and faster growth off depressed revenue and EPS estimates.

Highlights (US\$m)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Revenues	1,009	1,112	1,312	1,107	1,046	1,121	1,183	1,238
EBIT (UBS)	110	136	199	105	96	138	162	180
Net earnings (UBS)	72	103	146	70	78	121	148	169
EPS (UBS, diluted) (US\$)	0.57	0.77	1.09	0.53	0.60	0.92	1.12	1.29
DPS (net) (US\$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net (debt) / cash	(93)	(109)	13	43	365	594	824	1,056
Profitability/valuation	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
EBIT (UBS) margin %	10.9	12.2	15.2	9.5	9.2	12.3	13.7	14.5
ROIC (EBIT) %	59.6	78.5	131.1	87.4	187.5	(218.7)	(138.3)	(112.0)
EV/EBITDA (UBS core) x	6.0	8.9	9.7	12.8	13.1	8.3	5.9	4.2
P/E (UBS, diluted) x	12.8	14.6	15.6	25.5	22.7	14.7	12.0	10.5
Equity FCF (UBS) yield %	14.2	7.7	10.6	6.4	18.5	13.2	13.2	13.3
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US\$ 13.51 on 31-Jan-2024

Equities

Americas

Communications Technology

12-month rating **Neutral**
Prior : Buy

12m price target **US\$14.00**
Prior : US\$22.00

Price (31 Jan 2024) **US\$13.51**

RIC: EXTR.O BBG: EXTR US

Trading data and key metrics

52-wk range	US\$32.27-13.51
Market cap.	US\$1.74b
Shares o/s	129m (COM)
Free float	98%
Avg. daily volume ('000)	2,327
Avg. daily value (m)	US\$39.2
Common s/h equity (06/24E)	US\$0.18b
P/BV (06/24E)	9.7x
Net debt to EBITDA (06/24E)	NM

EPS (UBS, diluted) (US\$)

	06/24E			
	From	To	% ch	Cons.
Q1	0.35	0.35	0	0.35
Q2	0.27	0.24	-11	0.25
Q3E	0.30	(0.17)	NM	0.28
Q4E	0.33	0.11	-67	0.36
06/24E	1.25	0.53	-57	1.24
06/25E	1.45	0.60	-59	1.51
06/26E	1.68	0.92	-45	1.81

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UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can Extreme's "Universal Portfolio Strategy" drive incremental market share and drive double-digit revenue growth beyond FY25?**

No. Extreme's double-digit growth in FY22 and FY23 was the result of pandemic-related supply chain delays and depressed demand in FY20 / FY21 followed by double-ordering by customers in FY22 / FY23 to protect against the possibility of supply chain issues. Supply and demand are normalizing in FY24 / FY25 and it is now apparent that Extreme is not growing at a sustainable double-digit rate. The five-year CAGR for the FY19-FY24e period is expected to be ~4%, in line with growth in the Campus market and not representative of market share gains or double-digit growth.

Q: Can operating margin expand towards the prior guide of ~20%?

No. The same dynamic driving the distortions in revenue have also distorted the trend in Extreme's margins. Operating margin was single-digit in FY19 / FY20 and expanded into the double-digits in FY21 / FY22 as revenue growth accelerated. Operating margin peaked at 15.2% in FY23, but with growth normalizing we estimate 9.2% operating margin in FY25. As Extreme's margins have reverted it is likely the prior longer-term guide of 20% is not a reasonable expectation.

UBS VIEW

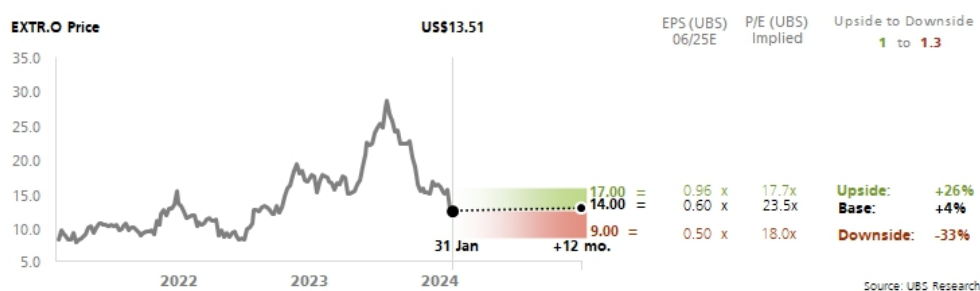
We downgrade Extreme shares to Neutral from Buy. While Extreme's Universal Portfolio Strategy is competitive, it is not enough to overcome the order digestion dynamic prevalent in the networking industry and it is unclear how successful Extreme has been at taking market share. Further, with the company noting its backlog has reached a more normalized level earlier than was anticipated, we think it is prudent to forecast conservatively given the lack of visibility. Meaningful operating margin expansion seems unlikely, considering the limited order growth will hinder Extreme's ability to scale. We take a more muted view of the medium-term outlook for Extreme's business and opt to remain on the sidelines until the company can demonstrate sustained operational improvement.

EVIDENCE

Our outlook for continued inventory digestion and soft product orders across the Networking market (ex hyperscaler) in F3Q / F4Q, as well as the medium-term outlook for the business, support a lower assessment of the business and our new valuation and rating. In our view, the company does not look poised for double-digit growth or 20%+ operating margin consistent with the prior long-term outlook and it appears that, given the five-year growth CAGR, Extreme is having less success taking market share than we previously believed.

WHAT'S PRICED IN?

Following the soft guide and our negative revisions, shares of Extreme are trading at 18x our CY25 EPS est of \$0.78, which is over one standard deviation above the trailing 3-year avg. While 18x is an elevated multiple for Extreme based on history, it has traded as high as 20x. Given trough-like dynamics, we believe a premium to the trailing avg of ~14x is appropriate, supported by our P/E model (Figure 5).

UPSIDE/DOWNSIDE SPECTRUM

Value drivers CY25	Revenue growth	Gross margin	Op income growth	Op margin	Diluted EPS
\$17 upside	19.7%	62.7%	238.6%	12.7%	\$0.96
\$14 base	11.9%	62.1%	174.0%	11.0%	\$0.78
\$9 downside	5.2%	60.8%	72.8%	7.7%	\$0.50

Source: UBS estimates

COMPANY DESCRIPTION

Extreme is a leading provider of end-to-end, cloud-driven networking solutions, as well as services and support to enterprise, data center, and service provider customers. The company designs, develops, and manufactures wired and wireless network infrastructure equipment, as well as software for network policy, analytics, security, and access controls. The company's revenue is derived from the sales of its networking equipment, software subscriptions, and related maintenance contracts. Extreme operates globally and is headquartered in Morrisville, NC.

Inventory digestion a deep and persistent headwind through calendar 2024

A combination of longer elongated cycles driving book to bill below 1 in North America and lower inventory purchases from distributors and partners is expected to result in a material negative impact on both the March and June quarter revenue outlook. Although Extreme's formal guidance covers only the next two quarters, we anticipate weakness will extend the entire year in calendar 2024. As such, while fiscal 2024 revenue of \$1.1B could be a trough, as noted earlier, we think a recovery is likely to be weak into H1:25 (Sept-24 & Dec-24) on a YoY basis. In addition, an elongated sales cycle and elevated inventory on Extreme's balance sheet could be incremental headwinds not reflected in our CY25 revenue base case of \$1.1B. If demand remains soft, in our downside scenario, revenue would be 8% lower. On the other hand, in our upside case, a more robust recovery starts earlier in 2025 than expected, driving revenue ~\$60M higher than our forecast, leading to almost 20% YoY growth.

Calendar 2025 framework – Puts and takes drive a steep revenue and EPS reset

Framing the outlook for both fiscal and calendar 2025 is challenging given our expectation that Networking end markets like Campus are likely to grow only 3-4% following a potential mid-teens decline in calendar 2024. Following our expectation of 45% decline in 'Product' revenue in CY24, driven by a severe inventory correction and elongated sales cycles, we forecast a 14% recovery in CY25 to \$589M. While the volatility around the forecast is elevated given the industry dynamics and the growth rate appears high, for context, we note that Extreme 'Product' revenue was \$591M in calendar 2014, 7 years ago when the Campus market was \$13.7B, compared to our forecast of \$213.B in calendar 2024. While Extreme's portfolio is not entirely comprised of Campus gear, it illustrates the magnitude of the revenue reduction baked into our forecast. That said, the forecast is not without risk given an internal reorganization and pending HPE/JNPR merger that we think could shift market share to larger competitors like Cisco on the margin.

Figure 1: Extreme's Q3:24 guide is materially below our prior estimate

	UBS Prior	UBS New	Guide 3Q24
Revenue	\$325	\$197	\$200-\$210
Gross Margin	61.2%	60.1%	59.5%-61.5%
Op Margin	15.9%	-10.7%	(13.4%)-(9.8%)
EPS	\$0.30	(\$0.17)	(\$0.22)-(\$0.17)

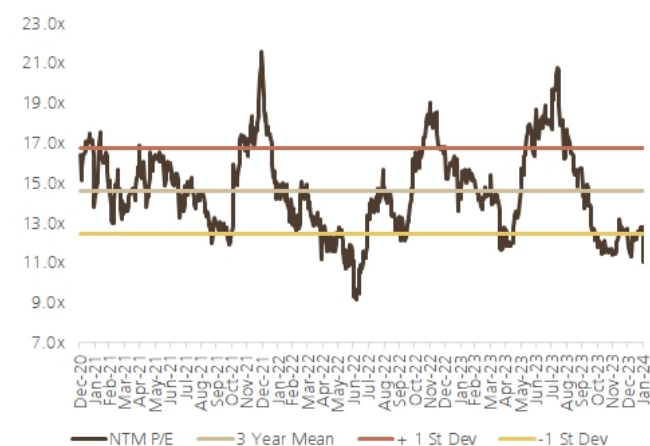
Source: Company data and UBS estimates

Figure 2: Extreme's Q4:24 revenue guide assumes modest normalization of demand and inventory digestion

	UBS Prior	UBS New	Guide 4Q24
Revenue	\$365	\$261	\$265-\$275
Gross Margin	60.7%	60.1%	Flat to slightly up seq
Op Margin	15.5%	7.4%	10%-13%

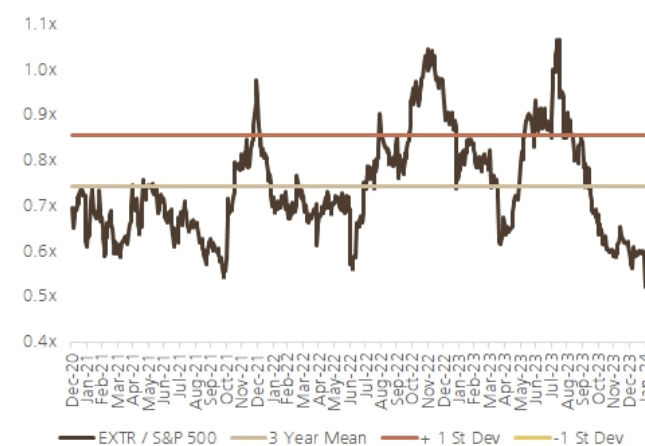
Source: Company data and UBS estimates

Figure 3: Extreme's NTM P/E multiple is one standard deviation below the trailing 3-year average



Source: Bloomberg

Figure 4: Extreme's NTM P/E multiple relative to the S&P 500 is at a 40% discount to the market



Source: Bloomberg

Figure 5: Our \$14 price target assumes ~6% EPS growth, a 4% risk free rate, and CY25E EPS of \$0.78

UBS PRICE TARGET	
4% interest rates and 6% EPS growth off "trough"	
EXTR: P/E CALCULATION	
High growth period (in years)	10
CAGR revenue growth in period	4.5%
CAGR earnings growth in period	6.0%
CAGR earnings growth stable period	1.5%
Risk free rate	4.00%
Beta	1.10
Equity risk premium	5.00%
Cost of Equity (CAPM)	9.5%
Projected P/E multiple (CAPM)	17.6x
VALUATION ANALYSIS:	
CY25E UBS EPS est.	\$0.78
Times: Projected P/E multiple (CAPM)	17.6x
"Implied" share price	\$ 13.70

Source: UBS estimates and Bloomberg

Figure 6: Extreme estimates reset lower

FY Ends: June (in US\$ millions, except per share amounts)	3Q 2024E			2024			2025		
	Old	New	% Change	Old	New	% Change	Old	New	% Change
Net revenues:									
Product	219.4	90.4	-58.8%	911.4	674.4	-26.0%	928.4	564.1	-39.2%
Service and subscription	105.6	106.1	0.5%	429.3	432.2	0.7%	484.2	481.7	-0.5%
Total net revenue	\$ 324.9	\$ 196.5	-39.5%	\$ 1,340.6	\$ 1,106.6	-17.5%	\$ 1,412.6	\$ 1,045.8	-26.0%
Yr-to-Yr percent growth	-2.3%	-40.9%	1695.3%	2.1%	-15.7%	-830.5%	5.4%	-5.5%	-202.3%
Non-GAAP Cost of revenues:									
Product	90.8	42.9	-52.7%	379.3	295.0	-22.2%	384.1	243.8	-36.5%
Service and subscription	35.4	35.6	0.5%	141.0	135.9	-3.6%	153.4	156.0	1.7%
Total Non-GAAP cost of revenues	126.1	78.5	-37.8%	520.3	431.0	-17.2%	537.5	399.8	-25.6%
Non-GAAP product gross profit	128.6	47.5	-63.1%	532.0	379.4	-28.7%	544.4	320.3	-41.2%
Non-GAAP product gross margin %	58.6%	52.5%	-10.4%	58.4%	56.3%	-3.6%	58.6%	56.8%	-3.1%
Non-GAAP service and subscription gross profit	70.2	70.6	0.5%	288.3	296.3	2.8%	330.7	325.7	-1.5%
Non-GAAP service and subscription gross margin %	66.5%	66.5%	0.0%	67.2%	68.6%	2.1%	68.3%	67.6%	-1.0%
Total Non-GAAP gross profit	198.8	118.0	-40.6%	820.3	675.6	-17.6%	875.1	646.1	-26.2%
Non-GAAP Gross margin %	61.2%	60.1%	-1.8%	61.2%	61.1%	-0.2%	62.0%	61.8%	-0.3%
Non-GAAP R&D	52.0	46.2	-11.2%	211.6	193.8	-8.4%	223.7	192.5	-13.9%
Non-GAAP S&M	81.2	78.6	-3.2%	331.8	319.3	-3.8%	349.0	304.2	-12.8%
Non-GAAP G&A	13.8	14.2	3.2%	58.8	57.8	-1.8%	62.0	52.9	-14.6%
Non-GAAP OpEx	147.0	139.1	-5.4%	602.3	570.9	-5.2%	634.7	549.7	-13.4%
Non-GAAP Operating income	\$ 51.8	\$ (21.0)	-140.6%	\$ 218.0	\$ 104.7	-52.0%	\$ 240.4	\$ 96.4	-59.9%
Non-GAAP Operating margin	15.9%	-10.7%	-167.1%	16.3%	9.5%	-41.8%	17.0%	9.2%	-45.8%
Interest income	2.8	2.2	-20.8%	9.8	6.6	-32.4%	22.4	14.9	-33.4%
Interest expense	(3.4)	(3.4)	-1.2%	(14.5)	(15.3)	5.4%	(13.6)	(13.5)	-1.2%
Non-GAAP income taxes (benefit)	11.4	-	-100.0%	47.5	26.0	-45.2%	55.3	19.6	-64.6%
Income tax rate	22.2%	0.0%	-100.0%	22.2%	27.1%	22.0%	22.2%	20.0%	-10.0%
Non-GAAP net income	\$ 35.7	\$ 12.5	-65.1%	\$ 152.8	\$ 107.1	-29.9%	\$ 168.5	\$ 69.2	-58.9%
Diluted EPS	\$ 0.30	\$ (0.17)	-156.5%	\$ 1.25	\$ 0.53	-57.7%	\$ 1.45	\$ 0.60	-59.0%
Non-GAAP shares used	133.5	131.5	-1.5%	133.5	132.0	-1.1%	133.5	131.5	-1.5%

Source: UBS estimates

Figure 7: Extreme variance table

FY Ends: June (in US\$ millions, except units & per share amounts)		Actual Sep-22	Estimate Sep-23	Actual Sep-23	Better / (Worse) Sep-23	Better / (Worse) Sep-23
Net revenues:						
Product		206.3	245.5	253.5	8.0	3.3%
Service and subscription		91.4	103.2	99.7	(3.6)	-3.4%
Total net revenue		\$ 297.7	\$ 348.7	\$ 353.1	\$ 4.5	1.3%
Yr-to-Yr percent growth		11.2%	17.1%	18.6%	1.5%	8.7%
Non-GAAP Cost of revenues:						
Product		96.6	101.9	106.9	5.0	4.9%
Service and subscription		29.7	33.9	30.5	(3.4)	-10.0%
Total Non-GAAP cost of revenues		126.3	135.8	137.4	1.6	1.2%
Non-GAAP COGS % of revenue		0.4	0.4	0.4	(0.0)	-0.1%
Non-GAAP product gross profit		109.7	143.6	146.6	3.0	2.1%
Non-GAAP product gross margin %		53.2%	58.5%	57.8%	-0.7%	-1.2%
Non-GAAP service and subscription gross profit		61.7	69.3	69.1	(0.2)	-0.2%
Non-GAAP service and subscription gross margin %		67.5%	67.1%	69.4%	2.2%	3.3%
Total Non-GAAP gross profit		171.3	212.9	215.7	2.8	1.3%
Non-GAAP Gross margin %		57.6%	61.1%	61.1%	0.0%	0.0%
Non-GAAP R&D		47.9	54.2	53.6	(0.5)	-1.0%
Non-GAAP S&M		73.7	85.5	84.9	(0.6)	-0.7%
Non-GAAP G&A		13.5	13.9	14.6	0.7	5.0%
Non-GAAP OpEx		135.2	153.6	153.2	(0.4)	-0.3%
Non-GAAP Operating income		\$ 36.2	\$ 59.3	\$ 62.5	\$ 3.2	5.5%
Non-GAAP Operating margin		12.1%	17.0%	17.7%	0.7%	4.1%
Interest income		0.4	2.3	1.2	(1.1)	-47.8%
Interest expense		(3.8)	(3.9)	(4.3)	(0.4)	11.2%
Other income (expense), net		0.4	-	0.4	0.4	#DIV/0!
Income tax rate		18.2%	22.0%	22.2%	0.2%	1.0%
Non-GAAP net income		\$ 27.1	\$ 29.7	\$ 46.5	\$ 16.8	56.6%
Diluted EPS		\$ 0.20	\$ 0.34	\$ 0.35	\$ 0.01	3.3%
Non-GAAP shares used		132.9	132.9	133.0	0.1	0.1%

Source: Company data and UBS estimates

Extreme Networks Inc (EXTR.O)

	06/21	06/22	06/23	06/24E	%ch	06/25E	%ch	06/26E	06/27E	06/28E
Income Statement (US\$m)										
Revenues	1,009	1,112	1,312	1,107	-15.7	1,046	-5.5	1,121	1,183	1,238
Gross profit	614	649	773	676	-12.6	646	-4.4	700	745	783
EBITDA (UBS)	166	176	234	134	-42.6	118	-12.2	152	175	193
Depreciation & amortisation	(55)	(40)	(35)	(30)	15.1	(21)	27.6	(14)	(13)	(13)
EBIT (UBS)	110	136	199	105	-47.4	96	-7.9	138	162	180
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	(24)	(12)	(14)	(9)	38.9	1	-	13	22	32
Exceptionals (incl goodwill)	0	0	2	0	-	0	-	0	0	0
Pre-tax profit	86	124	186	96	-48.5	98	1.9	151	184	212
Tax	(14)	(21)	(40)	(26)	34.9	(20)	24.8	(30)	(37)	(42)
Profit after tax	72	103	146	70	-52.2	78	11.8	121	148	169
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(70)	(59)	(68)	(8)	88.0	(9)	-10.3	(36)	(49)	(60)
Net earnings (local GAAP)	2	44	78	62	-20.9	69	12.0	85	98	109
Net earnings (UBS)	72	103	146	70	-52.2	78	11.8	121	148	169
Tax rate (%)	16.1	16.7	21.5	27.1	26.3	20.0	-26.2	20.0	20.0	20.0
Per Share (US\$)										
EPS (UBS, diluted)	0.57	0.77	1.09	0.53	-51.6	0.60	12.3	0.92	1.12	1.29
EPS (local GAAP, diluted)	0.02	0.33	0.58	0.47	-19.9	0.53	12.5	0.65	0.75	0.83
EPS (UBS, basic)	0.58	0.80	1.13	0.54	-52.0	0.61	11.8	0.94	1.14	1.31
DPS (net) (US\$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) ¹	1.00	1.08	1.36	0.75	-44.3	0.76	0.5	1.03	1.22	1.39
Book value per share	0.43	0.70	0.90	1.39	53.7	2.58	85.3	3.88	5.29	6.79
Average shares (diluted)	128	133	134	132	-1.2	132	-0.4	132	132	132
Balance Sheet (US\$m)										
Cash and equivalents	247	195	235	236	0.4	557	136.4	787	1,016	1,248
Other current assets	241	295	341	388	13.6	301	-22.4	314	326	339
Total current assets	488	489	576	624	8.2	858	37.6	1,100	1,343	1,587
Net tangible fixed assets	55	50	46	43	-7.5	37	-13.3	34	33	32
Net intangible fixed assets	367	433	411	401	-2.4	396	-1.3	396	396	396
Investments / other assets	100	97	108	78	-28.4	83	7.7	88	93	97
Total assets	1,010	1,069	1,142	1,145	0.3	1,374	20.1	1,619	1,864	2,112
Trade payables & other ST liabilities	432	467	541	493	-8.9	540	9.5	585	624	658
Short term debt	24	33	34	9	-72.8	9	0.0	9	9	9
Total current liabilities	456	500	576	502	-12.7	549	9.3	595	633	668
Long term debt	316	271	188	183	-2.5	183	0.0	183	183	183
Other long term liabilities	184	207	262	281	7.1	310	10.6	340	365	386
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	956	978	1,025	966	-5.8	1,042	7.9	1,118	1,181	1,237
Common s/h equity	54	90	117	179	53.5	332	85.4	501	683	876
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	1,010	1,069	1,142	1,145	0.3	1,374	20.1	1,619	1,864	2,112
Cash Flow (US\$m)										
Net income (before pref divs)	2	44	78	62	-20.9	69	12.0	85	98	109
Depreciation & amortisation	55	40	35	30	-15.1	21	-27.6	14	13	13
Net change in working capital	21	(20)	67	(103)	-	134	-	33	26	21
Other operating	66	64	70	137	96.0	108	-21.2	109	104	101
Operating cash flow	145	128	249	125	-49.7	332	164.8	240	242	244
Tangible capital expenditure	(17)	(15)	(14)	(15)	-5.3	(10)	28.0	(11)	(12)	(12)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	(70)	0	0	-	0	-	0	0	0
Other investing	0	0	0	0	-	0	-	0	0	0
Investing cash flow	(17)	(85)	(14)	(15)	-5.3	(10)	28.0	(11)	(12)	(12)
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	5	(52)	(105)	(83)	20.7	0	-	0	0	0
Other financing	(5)	(5)	19	(25)	-	0	-	0	0	0
Change in debt & pref shares	(74)	(38)	(109)	(5)	95.4	0	-	0	0	0
Financing cash flow	(75)	(95)	(195)	(113)	41.9	0	-	0	0	0
Cash flow inc/(dec) in cash	53	(51)	41	(2)	-	322	-	229	230	232
FX / non cash items	0	(1)	0	3	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	53	(52)	40	1	-97.7	322	NM	229	230	232

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Extreme Networks Inc (EXTR.O)

Valuation (x)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
P/E (local GAAP, diluted)	NM	34.2	29.2	28.9	25.7	20.9	18.1	16.3
P/E (UBS, diluted)	12.8	14.6	15.6	25.5	22.7	14.7	12.0	10.5
P/CEPS	7.0	10.2	12.2	17.5	17.5	12.9	10.8	9.6
Equity FCF (UBS) yield %	14.2	7.7	10.6	6.4	18.5	13.2	13.2	13.3
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	16.7	16.2	18.8	9.7	5.2	3.5	2.6	2.0
EV/revenues (core)	1.0	1.4	1.7	1.5	1.5	1.1	0.9	0.6
EV/EBITDA (UBS core)	6.0	8.9	9.7	12.8	13.1	8.3	5.9	4.2
EV/EBIT (core)	9.0	11.6	11.4	16.4	16.0	9.2	6.4	4.5
EV/OpFCF (core)	6.7	9.8	10.3	14.3	14.3	8.9	6.3	4.4
EV/op. invested capital	5.3	9.1	14.9	14.3	29.9	NM	NM	NM
Enterprise value (US\$m)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Market cap.	894	1,467	2,213	1,743	1,743	1,743	1,743	1,743
Net debt (cash)	93	109	48	(28)	(204)	(480)	(709)	(940)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	987	1,577	2,261	1,715	1,538	1,263	1,034	803
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	987	1,577	2,261	1,715	1,538	1,263	1,034	803
Growth (%)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Revenue	6.5	10.2	18.0	(15.7)	(5.5)	7.2	5.6	4.7
EBITDA (UBS)	58.7	6.5	32.6	(42.6)	(12.2)	29.3	15.2	10.0
EBIT (UBS)	171.9	23.5	46.1	(47.4)	(7.9)	43.1	17.5	11.1
EPS (UBS, diluted)	NM	37.0	41.3	(51.6)	12.3	54.5	22.0	14.7
Net DPS	-	-	-	-	-	-	-	-
Margins & Profitability (%)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Gross profit margin	60.8	58.4	58.9	61.1	61.8	62.4	63.0	63.2
EBITDA margin	16.4	15.9	17.8	12.1	11.3	13.6	14.8	15.6
EBIT (UBS) margin	10.9	12.2	15.2	9.5	9.2	12.3	13.7	14.5
Net earnings (UBS) margin	7.2	9.3	11.1	6.3	7.5	10.8	12.5	13.7
ROIC (EBIT)	59.6	NM	NM	NM	NM	NM	NM	NM
ROIC post tax	50.0	65.4	NM	63.7	NM	NM	NM	NM
ROE (UBS)	241.3	142.9	141.3	47.3	30.6	29.0	24.9	21.7
Capital structure & Coverage (x)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Net debt / EBITDA	0.6	0.6	(0.1)	(0.3)	(3.1)	(3.9)	(4.7)	(5.5)
Net debt / total equity %	170.2	121.1	(11.1)	(24.3)	(109.9)	(118.6)	(120.7)	(120.6)
Net debt / (net debt + total equity) %	63.0	54.8	(12.4)	(32.0)	NM	NM	NM	NM
Net debt/EV %	15.7	6.4	2.1	(1.6)	(13.3)	(38.0)	(68.6)	NM
Capex / depreciation %	74.8	76.3	69.4	77.7	64.7	78.3	88.7	96.0
Capex / revenue %	1.7	1.4	1.1	1.3	1.0	1.0	1.0	1.0
EBIT / net interest	4.6	11.4	14.0	12.1	-	-	-	-
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-
Revenues by division (US\$m)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Others	1,009	1,112	1,312	1,107	1,046	1,121	1,183	1,238
Total	1,009	1,112	1,312	1,107	1,046	1,121	1,183	1,238
EBIT (UBS) by division (US\$m)	06/21	06/22	06/23	06/24E	06/25E	06/26E	06/27E	06/28E
Others	110	136	199	105	96	138	162	180
Total	110	136	199	105	96	138	162	180

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	3.6%
Forecast dividend yield	0.0%
Forecast stock return	3.6%
Market return assumption	9.2%
Forecast excess return	-5.6%

Company Description

Extreme is a leading provider of end-to-end, cloud-driven networking solutions, as well as services and support to enterprise, data center, and service provider customers. The company designs, develops, and manufactures wired and wireless network infrastructure equipment, as well as software for network policy, analytics, security, and access controls. The company's revenue is derived from the sales of its networking equipment, software subscriptions, and related maintenance contracts. Extreme operates globally and is headquartered in Morrisville, NC.

Valuation Method and Risk Statement

Risks to Extreme include: (1) macro weakness affecting IT spending levels; (2) product delays and failure to accurately navigate technology transformations; (3) increasing competition pressuring pricing and margins; (4) integration risks given its history of frequent acquisitions; and (5) a slowdown in technology and network upgrade cycle. Our price target is based on P/E multiple relative to Extreme's peer group.

Risks to Cisco include: (1) macro weakness affecting IT spending levels; (2) product delays and failure to accurately navigate technology transformations; (3) increasing competition pressuring pricing and margins; and (4) integration risks given its history of frequent acquisitions. Our price target is based on P/E multiple relative to Cisco's peer group.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on qa@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Extreme Networks Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	2
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	2
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	52%	38%
Neutral	FSR is between -6% and 6% of the MRA.	40%	38%
Sell	FSR is > 6% below the MRA.	8%	35%
Short-Term Rating	Definition	Coverage ³	IB Services ⁴
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2023.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

3:Percentage of companies under coverage globally within the Short-Term rating category.

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Company Disclosures

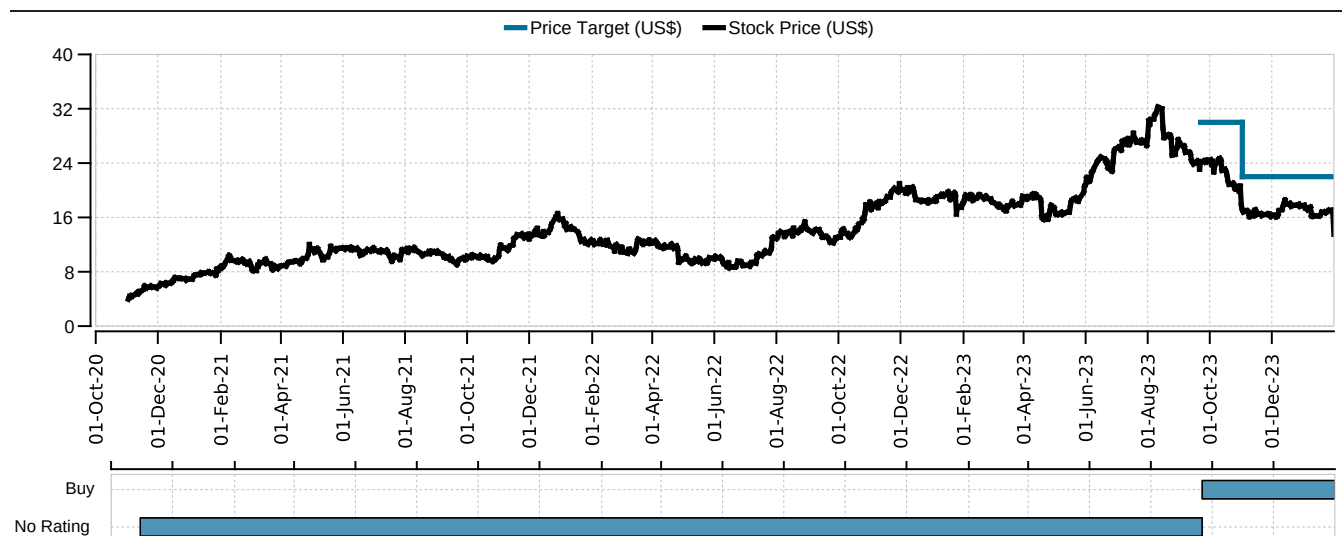
Company Name	Reuters	12-month rating	Price	Price date
Cisco Systems Inc. ^{4,5,16,7}	CSCO.O	Neutral	US\$50.18	31 Jan 2024
Extreme Networks Inc ¹⁶	EXTR.O	Buy	US\$13.51	31 Jan 2024

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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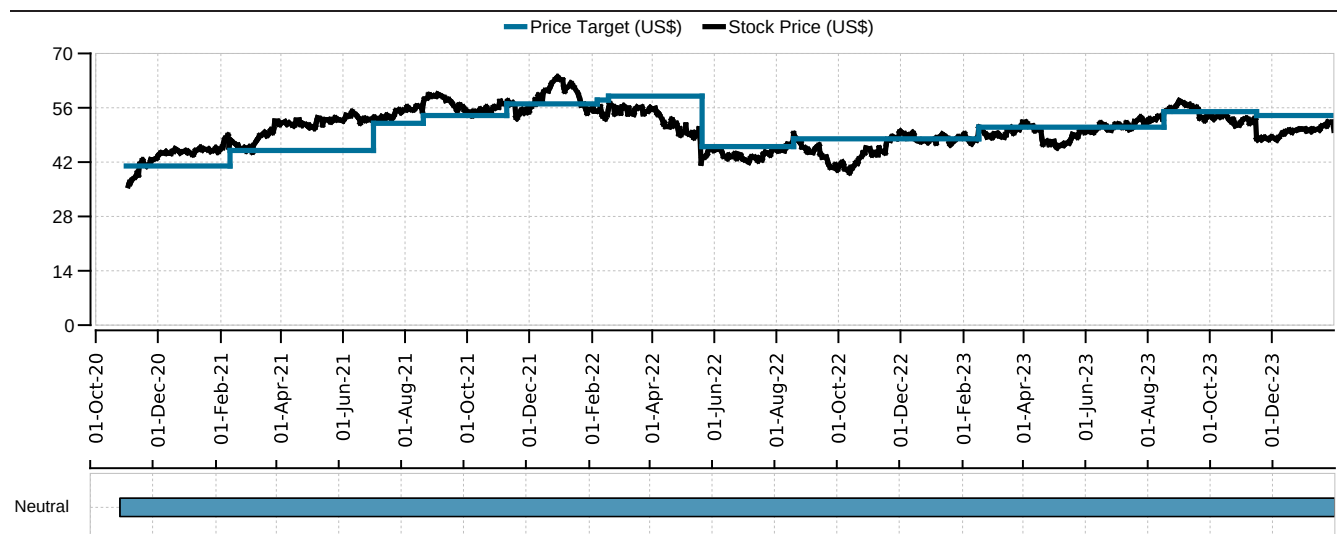
Extreme Networks Inc (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2020-10-30	4.06	-	No Rating
2023-09-21	23.11	30.00	Buy
2023-11-01	17.86	22.00	Buy

Source: UBS Global Research; LSEG Eikon as of 31-Jan-2024. All prices as of local market close. Ratings as of date shown.

Cisco Systems Inc. (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2020-10-30	35.90	41.00	Neutral
2021-02-09	45.82	45.00	Neutral
2021-06-30	53.00	52.00	Neutral
2021-08-18	55.15	54.00	Neutral
2021-11-08	57.00	57.00	Neutral
2022-02-05	55.15	58.00	Neutral
2022-02-16	54.25	59.00	Neutral
2022-05-19	41.72	46.00	Neutral
2022-08-17	46.66	48.00	Neutral
2023-02-15	48.45	51.00	Neutral
2023-08-16	52.96	55.00	Neutral
2023-11-15	53.28	54.00	Neutral

Source: UBS Global Research; LSEG Eikon as of 31-Jan-2024. All prices as of local market close. Ratings as of date shown.

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